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AI APTITUDE QUESTION BANK

AI for HR

About This Question Bank

An assessment for HR professionals integrating AI into their practice. Tests talent acquisition judgment, learning design, people analytics, compliance and ethics, and applied HR scenario decisions with AI.

5

Sets

15

Questions per Set

75

Total Questions

SET GUIDE

Set 1 · AI in Talent Acquisition*AI in talent acquisition — screening, JDs, bias, and hiring accountability***Set 2 · AI for Learning and Development***AI for L&D — curriculum design, personalisation, and assessment***Set 3 · People Analytics and Workforce Planning***People analytics and workforce planning — data use and strategic insight***Set 4 · HR Compliance and Ethics with AI***HR compliance and ethics — bias, privacy, surveillance, and accountability***Set 5 · HR Judgment Scenarios***HR judgment scenarios — applied decisions across hiring, performance, and ethics*

Each question has one correct answer. Select the best answer from the options provided.

Correct answers and explanations follow each question.

SET

1

AI in Talent Acquisition

Set 1 of 5 · 15 Questions · AI for HR

Q1. You use AI to screen 500 CVs for a marketing role. The most important safeguard is:

- A. Using the most advanced AI model available to maximise screening accuracy.
- B. Human review of AI-shortlisted and AI-rejected candidates before decisions are finalised.**
- C. Ensuring the AI has access to all job requirements before screening.
- D. Running the screening twice to confirm consistent AI shortlisting.

Correct Answer: B

Explanation

AI CV screening can perpetuate bias and make errors — including rejecting strong candidates. Human review of both shortlisted and rejected candidates catches systematic errors before they result in discriminatory or poor hiring decisions. Model quality, requirement access, and consistency checks are secondary.

Q2. What is the most significant bias risk when using AI to screen CVs?

- A. AI cannot evaluate soft skills or cultural fit from CV text.
- B. AI may favour CVs with better formatting over weaker content.
- C. AI may incorrectly parse CVs from non-standard formats.
- D. AI may replicate historical hiring patterns that excluded certain groups.**

Correct Answer: D

Explanation

If an AI screening model is trained on historical hiring decisions, it learns to prefer candidates who resemble those previously hired — potentially embedding gender, caste, educational institution, or geographic biases at scale. This is the most significant risk, not formatting or parsing issues.

Q3. You use Claude to draft a job description. The most important edit before publishing is:

- A. Removing language that may discourage qualified candidates from applying.**
- B. Ensuring the JD uses current industry-standard terminology.
- C. Checking that the JD matches your internal HR template format.
- D. Adding specific compensation ranges to attract quality candidates.

Correct Answer: A

Explanation

AI-generated JDs can inherit biased language patterns — masculine-coded language, unnecessary credential requirements, or exclusionary phrasing — that reduce diversity of applicants. Reviewing for inclusive language is the most important edit before publication.

Q4. A candidate asks "was AI used to evaluate my application?" What is the most appropriate response?

- A. Decline to disclose internal screening methodology.
- B. Explain that AI was used only for initial sorting, not evaluation.
- C. Be transparent about AI's role in the screening process.**
- D. Tell them AI was not involved if it was only used for CV parsing.

Correct Answer: C

Explanation

Transparency about AI use in hiring decisions is an emerging legal and ethical requirement in many jurisdictions. Candidates have a reasonable interest in knowing whether AI influenced whether they were considered. Honest disclosure is the correct practice regardless of legal obligation.

Q5. Which AI application in talent acquisition adds the most value with the least risk?

- A. Making the final hiring recommendation after all interviews.
- B. Drafting structured interview questions from a job description.**
- C. Predicting which candidates will perform best in the role.
- D. Scoring video interview responses for communication quality.

Correct Answer: B

Explanation

Drafting structured interview questions from a JD is a low-risk, high-value AI task — it produces a structured, consistent interview process that improves validity and fairness. Final hiring decisions, predictive scoring, and video interview analysis all carry significant bias and validity risks requiring careful oversight.

Q6. You are building an AI-assisted hiring workflow. What does "human in the loop" specifically require?

- A. A human reviews and approves AI recommendations at every decision point.**
- B. A human wrote the initial job description the AI worked from.
- C. A human can override AI decisions if they disagree after the fact.
- D. A human monitors AI screening performance through a dashboard.

Correct Answer: A

Explanation

"Human in the loop" requires active human review at decision points — not just initial setup or after-the-fact override capability. Passively monitoring a dashboard while AI makes hiring decisions is not a human-in-the-loop design.

Q7. What is the most important limitation to communicate to hiring managers who want to use AI for final candidate selection?

- A. AI recommendations are statistical averages and may not apply to this specific role.
- B. AI selection models require a minimum of 1,000 historical data points to be reliable.
- C. AI selection tools have not been validated for the Indian hiring market.
- D. AI cannot account for the contextual and interpersonal factors that predict job success.**

Correct Answer: D

Explanation

Job success depends on factors AI cannot reliably evaluate — how the person will work with this specific team, in this specific culture, at this specific moment in the company's growth. Contextual and interpersonal factors are where human judgment is irreplaceable.

Q8. A hiring manager says "the AI scored this candidate low so we should pass." The most important challenge to this reasoning is:

- A. The AI may not have received the candidate's full application materials.
- B. AI scores should be one input among many, not the sole decision factor.
- C. The AI score reflects pattern matching, not human judgment about fit and potential.**
- D. AI scoring systems are only valid when candidates consent to being scored.

Correct Answer: C

Explanation

The most important challenge is conceptual — AI scores reflect statistical patterns, not human judgment about potential, resilience, cultural fit, or growth trajectory. An AI score is one data point, not a verdict. The manager's reasoning treats the score as decisive when it should be interrogated.

Q9. You use AI to generate a job offer letter template. What is non-negotiable before using it?

- A. Legal review to ensure it complies with applicable employment law.**
- B. Checking that it matches your company's visual identity guidelines.
- C. Having the hiring manager personalise it for the specific candidate.
- D. Confirming it includes all standard clauses for your industry.

Correct Answer: A

Explanation

Offer letters are legally binding documents. AI-generated offer letters may contain clauses that are unenforceable, create unintended obligations, or violate employment law in your jurisdiction. Legal review before any offer letter template is used is non-negotiable.

Q10. What is the most accurate statement about AI and "culture fit" assessment in hiring?

- A. AI is more objective than humans at assessing culture fit.
- B. AI culture fit assessment is reliable when trained on existing team data.
- C. Culture fit AI works best when combined with personality assessment tools.
- D. AI cannot reliably assess culture fit and risks encoding cultural homogeneity.**

Correct Answer: D

Explanation

"Culture fit" AI tools learn what characteristics resemble current employees — encoding the company's existing culture including its homogeneity. This systematically disadvantages candidates who are different from existing employees regardless of their potential contribution.

Q11. You want to reduce time-to-hire using AI. The most appropriate first step is:

- A. Implement AI screening for all roles immediately to test time savings.
- B. Identify which specific steps in your hiring process are the bottlenecks.**
- C. Survey hiring managers about which parts of the process they find most time-consuming.
- D. Benchmark your current time-to-hire against industry averages using AI research.

Correct Answer: B

Explanation

AI implementation should address real bottlenecks, not hypothetical ones. Identifying which specific steps cause delay — CV review volume, scheduling coordination, reference checking — allows you to apply AI where it will have the most impact.

Q12. A recruiter uses AI to write personalised candidate outreach at scale. The highest risk to manage is:

- A. Candidates replying faster than the recruiter can handle the responses.
- B. AI outreach that is stylistically inconsistent across different messages.
- C. Outreach that feels personalised but lacks genuine specificity for each candidate.**
- D. Sending outreach to candidates who have opted out of recruiting contact.

Correct Answer: C

Explanation

AI "personalised" outreach that is actually template-based with superficial variable substitution is often recognisable to candidates and reduces response rates. The highest risk is the gap between the appearance of personalisation and genuine candidate-specific relevance.

Q13. Which interview practice is most improved by AI assistance?

- A. Evaluating candidate responses during the interview itself.
- B. Predicting which candidate will perform best based on interview notes.
- C. Scoring candidates on interpersonal communication during video interviews.
- D. Designing structured, competency-based interview questions.**

Correct Answer: D

Explanation

Designing structured interview questions — competency-based, consistently applied, covering the key evaluation dimensions — is where AI assists the most reliably and with the least bias risk. In-interview evaluation, outcome prediction, and communication scoring all require human judgment or carry high bias risk.

Q14. What is the most important principle for ethical AI use in the hiring process?

- A. AI should be disclosed to candidates at the beginning of the process.
- B. Humans are accountable for every hiring decision regardless of AI's role.**
- C. AI should only be used for tasks explicitly approved by the HR team.
- D. AI hiring tools must achieve unbiased outcomes before deployment.

Correct Answer: B

Explanation

Accountability is the foundational principle — hiring decisions affect people's livelihoods and cannot be delegated to AI. The hiring manager and organisation remain fully accountable for every hiring decision, regardless of how much AI contributed to the process.

Q15. What does "adverse impact" mean in the context of AI hiring tools?

- A. When an AI tool produces significantly worse outcomes for a protected group.**
- B. When candidates react negatively to discovering AI was used in screening.
- C. When an AI tool produces incorrect recommendations for senior roles.
- D. When AI hiring speeds become too fast for the HR team to manage.

Correct Answer: A

Explanation

Adverse impact means AI screening disproportionately excludes or disadvantages candidates from protected groups — by gender, caste, religion, or other characteristics — even when the tool was not explicitly designed to do so. Measuring and monitoring for adverse impact is a legal and ethical requirement.

SET

2

AI for Learning and Development

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Q16. You use AI to design a training programme for your team. What is the most important first step?

- A. Generate a comprehensive curriculum covering all relevant topics.
- B. Benchmark the training design against industry best practices.
- C. Identify the specific skill gap the training must close.**
- D. Decide whether to use AI for delivery as well as design.

Correct Answer: C**Explanation**

Learning design starts with gap analysis — what specific capability is currently missing, in which context, for which learners. Without this, AI generates a comprehensive curriculum for a generalised learner that may not address the actual performance gap.

Q17. What is the most effective use of AI in personalising employee learning paths?

- A. Adapting content sequence and difficulty based on demonstrated performance data.**
- B. Generating different versions of the same content for different job levels.
- C. Allowing employees to select their own learning content from AI recommendations.
- D. Providing AI-generated explanations when employees request additional context.

Correct Answer: A**Explanation**

Genuine personalisation adapts the learning sequence — what comes next, at what difficulty level — based on how the learner is actually performing. This requires performance data to drive adaptation. Other approaches provide variation or choice but not true adaptation based on demonstrated learning.

Q18. A manager asks AI to evaluate employee performance based on their written communications. What is the primary concern?

- A. AI cannot access the full range of employee work outputs for evaluation.
- B. The evaluation may violate employee privacy depending on jurisdiction.
- C. Written communication is too subjective a metric for AI to score reliably.
- D. Written communication samples introduce significant bias and do not measure overall performance.**

Correct Answer: D

Explanation

Evaluating performance through written communication samples systematically advantages certain communication styles, education backgrounds, and language proficiencies. It is a biased proxy for performance that does not reflect actual job contribution across most roles.

Q19. You use Claude to design microlearning modules for a new product launch. What must you verify before deployment?

- A. That the modules meet the minimum length standard for your LMS.
- B. The accuracy of every product claim in the learning content.**
- C. That the design matches your company's learning template exactly.
- D. That Claude used the most current product information in its training data.

Correct Answer: B

Explanation

Product training content that contains inaccurate claims will train employees to give customers wrong information. Accuracy of product claims is the threshold quality check before any product training goes live — independent of Claude's knowledge recency.

Q20. What is the most appropriate role for AI in mentoring and coaching programmes?

- A. Replacing peer mentoring for employees at junior levels.
- B. Providing AI coaching as the primary development intervention.
- C. Supplementing human mentors with structured resources and reflection prompts.**
- D. Matching mentors and mentees using AI analysis of their communication styles.

Correct Answer: C

Explanation

AI can genuinely enhance mentoring by providing structured frameworks, reflection questions, and resources that support human mentor conversations. It should not replace human mentors whose relationship, experience, and judgment are the primary value of mentoring programmes.

Q21. You use AI to generate employee survey questions. What is the most important quality check?

- A. Whether the questions are short enough for a good completion rate.
- B. Whether the questions are in the same format as last year's survey.
- C. Whether the questions avoid leading language as identified by AI.
- D. Whether the questions measure what the business actually needs to understand.**

Correct Answer: D

Explanation

Survey questions must measure what you need to know — not just questions that are well-formed or consistent with previous surveys. AI generates valid-looking survey questions that may not address the actual organisational questions that matter. Validity of measurement is the threshold check.

Q22. What is the most reliable AI use case for leadership development programmes?

- A. Generating scenario-based learning situations for leadership skills practice.**
- B. Assessing participants' leadership potential from their written outputs.
- C. Predicting which participants will become effective leaders after the programme.
- D. Replacing executive coaches with AI coaching for cost efficiency.

Correct Answer: A

Explanation

Scenario generation for practice is where AI adds the most reliable value in leadership development — creating varied, realistic situations that participants can practise responding to. Assessment, prediction, and coaching replacement all require human judgment and relationship that AI cannot provide.

Q23. A learning and development team uses AI to track employee engagement with training content. What is the most important thing to do with this data?

- A. Share it with line managers to inform performance reviews.
- B. Use it to identify specific patterns that inform content and delivery improvements.**
- C. Use it to rank employees by learning engagement for reward programmes.
- D. Send it to the AI tool for model improvement over time.

Correct Answer: B

Explanation

Learning engagement data is diagnostic — it should be used to improve the training experience, not to judge employees. Using engagement data in performance reviews or reward programmes creates gaming incentives and distracts from actual performance outcomes.

Q24. What is the most effective way to use AI to prepare managers for difficult conversations?

- A. Provide managers with a script to read from during the conversation.
- B. Ask AI for the optimal approach to the specific conversation.
- C. Have AI analyse the manager's communication style before the conversation.
- D. Generate realistic scenarios and practice dialogue for the specific situation.**

Correct Answer: D

Explanation

Practice through realistic scenario simulation builds the actual skill of having difficult conversations. Scripts produce managers who cannot adapt when the conversation goes off-script; optimal approach advice is generic; communication style analysis before the conversation does not develop capability.

Q25. Which statement about AI and 70:20:10 learning frameworks is most accurate?

- A. AI can replicate all three learning components with appropriate tools.
- B. AI replaces the 20% social learning component more effectively than formal training.
- C. AI is most applicable to the 10% formal learning component.**
- D. AI is most useful for the 70% on-the-job learning component.

Correct Answer: C

Explanation

AI is most naturally applicable to the 10% formal component — structured content, assessments, and knowledge resources. The 70% (on-the-job) and 20% (social) components depend on real work context, human relationships, and experiential feedback that AI cannot replicate.

Q26. You use AI to identify skills gaps across the organisation from job description and performance data. What must you do before making L&D investment decisions?

- A. Ensure the AI analysed at least 12 months of performance data for accuracy.
- B. Validate AI-identified gaps with qualitative input from managers and employees.**
- C. Have the HR leadership team review and approve the skills gap analysis.
- D. Commission an independent audit of the AI skills gap methodology.

Correct Answer: B

Explanation

AI skills gap analysis from structured data identifies patterns — but whether those patterns represent real capability gaps or artefacts of how data was collected requires qualitative validation. Talking to managers and employees confirms whether AI-identified gaps reflect actual performance issues.

Q27. What is the most important design principle for AI-assisted assessments in learning programmes?

- A. AI assessment should measure demonstrated capability, not just recall of content.**
- B. AI assessments should be adaptive — harder questions for higher scorers.
- C. AI assessments should be scored by AI to remove human marking bias.
- D. AI assessments should be shorter than traditional assessments to maximise completion.

Correct Answer: A

Explanation

The most important principle is validity — assessing actual capability demonstration rather than content recall. Adaptive difficulty, AI scoring, and brevity are design features that support the assessment — but the foundational question is whether the assessment measures what matters.

Q28. An employee complains that an AI learning recommendation does not match their actual development needs. What is the most appropriate response?

- A. Explain that AI recommendations are optimised for the average learner in their role.
- B. Switch the employee to a human-curated learning path instead.
- C. Review the data the AI used and allow the employee to provide input on their needs.**
- D. Adjust the AI model's parameters to improve recommendations for this employee.

Correct Answer: C

Explanation

Employee input on their own development needs is essential — AI recommendations from role and performance data may miss the employee's actual priorities, career direction, or learning preferences. The correct response is to combine data-driven AI recommendations with employee-directed needs assessment.

Q29. What is the most important reason to maintain human oversight in AI-driven performance learning interventions?

- A. AI learning interventions are not yet reliable enough for production use.
- B. Employees prefer human contact for development conversations.
- C. Human oversight is legally required for performance-related learning.
- D. Learning needs are contextual and relationship-driven in ways AI cannot fully capture.**

Correct Answer: D

Explanation

Learning effectiveness depends on contextual understanding — why this person has this gap, what is happening in their work environment, what motivates them, what barriers they face. These contextual and relational factors are irreducible to data patterns and require human judgment.

Q30. What is the highest-value AI capability for an HR team managing learning at scale?

- A. Generating entirely new training content on demand for any skill area.
- B. Rapidly personalising content recommendations across large learner populations.**
- C. Predicting which employees will leave if not given development opportunities.
- D. Replacing external training vendors for cost-effective L&D delivery.

Correct Answer: B

Explanation

At scale, the operational bottleneck in L&D is personalisation — one-size-fits-all content is less effective, but manually personalising for thousands of employees is impossible. AI can personalise recommendations at scale in a way that human curation cannot match, making it the highest-value capability.

SET

3

People Analytics and Workforce Planning

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Q31. You use AI to analyse attrition data and identify employees at risk of leaving. Before sharing this with managers:

- A. Assess the privacy, consent, and potential harm implications of sharing risk scores.
- B. Verify that the attrition model accuracy rate is above the industry standard.
- C. Ensure the risk scores are presented with appropriate confidence intervals.
- D. Have the legal team review the model methodology for compliance.

Correct Answer: A

Explanation

Sharing employee attrition risk scores with managers raises serious issues — how managers might use the information (favouritism, or conversely, pushing employees out), whether employees consented to this use of their data, and whether it creates perverse incentives. These must be assessed before any sharing.

Q32. What is the most important limitation of AI-powered people analytics?

- A. People analytics AI requires very large employee populations to be accurate.
- B. AI cannot access the qualitative data needed for meaningful workforce insights.
- C. Correlation in people data does not establish causation for management decisions.
- D. People analytics AI is only valid when employees have consented to data use.

Correct Answer: C

Explanation

AI people analytics identifies patterns and correlations — but management decisions based on those correlations assume causation. If AI identifies that employees who use the gym are more productive, the correlation may not justify building a gym. Correlation-causation conflation is the most dangerous analytical error in people analytics.

Q33. An AI workforce planning model suggests that 20% of your workforce will need reskilling for digital roles. What is the most important next step?

- A. Design and launch the reskilling programme immediately to stay ahead of the curve.
- B. Validate this projection against qualitative input from business and functional leaders.**
- C. Commission an independent AI audit to verify the workforce planning model.
- D. Share the projection with the board as a strategic risk for discussion.

Correct Answer: B

Explanation

Workforce planning AI projections are directional hypotheses. Before any programme design, board communication, or budget commitment, validate the projection against business leaders' understanding of where skills demand is actually heading. AI models from aggregated data may not reflect your specific business trajectory.

Q34. Which people analytics question is most appropriate for AI to answer?

- A. Whether a specific employee's performance issues are addressable with training.
- B. Which employees are most likely to become leaders in the next 3 years.
- C. Whether a specific team's underperformance is caused by poor management.
- D. What patterns in historical hiring data predict which candidates were retained?**

Correct Answer: D

Explanation

Historical pattern analysis — what characteristics of hired candidates predicted retention — is a legitimate AI use case with structured data inputs and statistical outputs. Individual performance diagnostics, leadership potential, and management causation all require human judgment and contextual knowledge.

Q35. You use AI to segment your workforce for a compensation review. The most critical check is:

- A. Whether the segmentation could inadvertently reflect or amplify pay inequities.**
- B. Whether the segments are the right size for manageable compensation review.
- C. Whether the AI used the current compensation bands in its segmentation.
- D. Whether the segmentation methodology has been validated by HR leadership.

Correct Answer: A

Explanation

Compensation review segmentation that groups employees in ways that track protected characteristics can inadvertently perpetuate or amplify pay gaps. This is the most critical check — not the operational or governance questions about process design.

Q36. What is the most appropriate use of AI in succession planning?

- A. Selecting the most qualified internal candidate for a leadership role.
- B. Identifying patterns in career paths that correlate with leadership readiness.**
- C. Predicting which candidates will succeed in a specific leadership role.
- D. Automatically advancing employees whose performance data meets the threshold.

Correct Answer: B

Explanation

Pattern identification in career paths — what combinations of experience, roles, and performance markers correlate with leadership success — is a legitimate AI analytical use. Selection, prediction for specific roles, and automatic advancement all require human judgment and carry legal and ethical accountability that cannot be delegated to AI.

Q37. An HR team wants to use AI to monitor employee wellbeing through sentiment analysis of internal communications. The most important concern is:

- A. Sentiment analysis of text is not sufficiently accurate for wellbeing monitoring.
- B. Employees will change their communication behaviour if they know they are monitored.
- C. The wellbeing data generated may not be actionable without clinical expertise.
- D. This constitutes employee surveillance and may violate privacy rights.**

Correct Answer: D

Explanation

Monitoring employee communications for sentiment without explicit consent is surveillance. Regardless of the wellbeing intention, this crosses significant privacy and trust boundaries in most jurisdictions and employment relationships. The privacy concern is primary.

Q38. You use AI to analyse exit interview data to identify retention risk factors. What is the most reliable insight AI can surface?

- A. The exact reasons each specific employee decided to leave.
- B. The manager most responsible for attrition based on exit interview data.
- C. Recurring themes and language patterns that appear across multiple exit interviews.**
- D. Whether the identified risk factors are present in current employee surveys.

Correct Answer: C

Explanation

Pattern identification across multiple interviews is where AI adds genuine value — identifying themes that appear consistently across many individual responses. Attribution to specific individuals (which manager) from exit data is unreliable and ethically problematic.

Q39. What is the most important privacy principle for HR AI applications?

- A. Employee data should be anonymised before being used in any AI model.
- B. Employee data should only be used for purposes employees have been informed about.**
- C. AI models trained on employee data must be reviewed by a data protection officer.
- D. Employees should have the right to review AI-generated assessments about them.

Correct Answer: B

Explanation

Purpose limitation — using employee data only for purposes employees are aware of and have agreed to — is the foundational privacy principle. Anonymisation, DPO review, and access rights are all implementations of this principle or secondary requirements, not the foundation.

Q40. A business leader asks HR to use AI to identify employees who are "flight risks." What is the most important challenge to address before proceeding?

- A. How the risk information will be used and whether it might harm the employees identified.**
- B. Whether the attrition model has been validated on your company's specific employee data.
- C. Whether employees have consented to their data being used for attrition prediction.
- D. Whether the model can distinguish between employees who have already decided to leave.

Correct Answer: A

Explanation

The use question precedes the technical question — if managers use flight risk scores to pass over employees for development opportunities, create hostile conditions, or push them out, the tool harms the very employees it identifies. Before building it, establish what actions are permissible based on the risk score.

Q41. You build an AI model that predicts high performance in engineering roles. After deployment, you notice it predicts lower performance for women. What must you do?

- A. Add gender as a variable in the model to correct the bias.
- B. Disclose the bias to the engineering leadership and continue using it with caution.
- C. Stop using the model immediately and investigate the source of bias.**
- D. Monitor the model for another quarter to see if the bias persists at scale.

Correct Answer: C

Explanation

A model with a demonstrated gender bias must be stopped immediately — continued use causes active harm. Adding gender as a variable may amplify rather than correct bias. Disclosure without stopping use is inadequate. Monitoring continues the harm while you gather more evidence of it.

Q42. What is the most effective AI use case for improving diversity in hiring?

- A. Blind screening that hides candidate names and universities.
- B. Identifying which interview panellists rate candidates most diversely.
- C. Scoring candidates on objective criteria to remove subjective bias.
- D. Standardising job requirement language to remove exclusionary criteria.**

Correct Answer: D

Explanation

Standardising job requirements — removing unnecessarily restrictive credentials, exclusionary language, and irrelevant requirements — expands the qualified candidate pool before screening begins. Blind screening, panellist analysis, and scoring can all still embed bias; reducing requirements exclusion addresses the problem at the source.

Q43. What is the most important governance requirement for AI in people analytics?

- A. Regular accuracy testing of all people analytics AI models in production.
- B. Clear ownership of who is responsible for AI model outputs and their consequences.**
- C. Employee notification whenever an AI model is used in a people decision.
- D. Third-party audit of all people analytics AI models before deployment.

Correct Answer: B

Explanation

Governance requires accountability — someone specific must own responsibility for what AI models produce and the consequences of those outputs. Without clear ownership, errors and biases go unaddressed because no one is accountable for them.

Q44. You use AI to analyse your company's internal pay equity data. The most important limitation to communicate is:

- A. AI pay equity analysis requires more than 500 employees to be statistically valid.
- B. AI cannot access all relevant compensation components needed for full analysis.
- C. AI identifies patterns that suggest inequity but cannot establish the causes.**
- D. AI pay equity results are only legally defensible if conducted by a qualified auditor.

Correct Answer: C

Explanation

AI can identify statistical patterns — that women or specific groups are paid less on average — but cannot determine why: whether it reflects job level, experience, negotiation, or discrimination. This distinction matters enormously for the correct remediation. Pattern identification and causal attribution require different analyses.

Q45. What is the most accurate description of AI's role in strategic workforce planning?

- A. AI surfaces patterns and projections that inform human strategic decisions.**
- B. AI automates the workforce planning process for efficiency at scale.
- C. AI replaces the need for HR business partners in workforce planning conversations.
- D. AI makes workforce planning more accurate by removing human forecasting bias.

Correct Answer: A

Explanation

AI in workforce planning is an analytical accelerator — it surfaces patterns in data, models scenarios, and identifies trends that inform strategic discussions. The strategic decisions — what investments to make, what risks to take, what organisational changes to prioritise — remain human.

SET

4

HR Compliance and Ethics with AI

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Q46. Your company operates across multiple Indian states and uses AI in hiring. What is the most important compliance check?

- A. Whether the AI vendor is registered and compliant in all states of operation.
- B. Whether your AI hiring tool has been tested for accuracy across regional accents.
- C. Whether employees in each state have been trained on the AI hiring process.
- D. Whether AI hiring practices comply with applicable state-level employment laws.**

Correct Answer: D

Explanation

Employment law in India varies by state — shops and establishments acts, local labour laws, and contract requirements differ. AI hiring practices must comply with state-specific regulations, not just central employment law. This is the threshold compliance question.

Q47. What is the most important question before implementing AI-based performance evaluation?

- A. Whether the AI model has been validated on a representative performance dataset.
- B. Whether the AI evaluation criteria are transparent and contestable by employees.**
- C. Whether line managers support replacing human assessment with AI evaluation.
- D. Whether the AI evaluation system can integrate with your existing HRIS.

Correct Answer: B

Explanation

Employees have a fundamental right to understand how they are being evaluated and to contest assessments they believe are unfair. If AI performance criteria are opaque and the process is not contestable, you create an HR system that may be both ethically problematic and legally vulnerable.

Q48. A manager wants to use AI to monitor remote employee productivity. The most important concern is:

- A. Productivity AI metrics may not accurately capture remote work output.
- B. Remote monitoring AI requires employees to be notified in their contracts.
- C. Surveillance without consent undermines trust and may violate employment law.**
- D. AI productivity monitoring may disadvantage employees with unreliable internet access.

Correct Answer: C

Explanation

Surveillance of employee behaviour — monitoring keyboard activity, camera feeds, or communication patterns — without explicit informed consent crosses ethical and legal boundaries in most employment relationships. Trust damage from discovered surveillance compounds the legal and ethical harm.

Q49. What is the most accurate statement about AI and unconscious bias in HR processes?

- A. AI can perpetuate bias at scale but can also be explicitly designed to reduce it.**
- B. AI removes unconscious bias because it makes decisions based on data, not intuition.
- C. AI introduces new forms of bias that are more difficult to detect than human bias.
- D. AI bias and human bias cancel each other out when used together in evaluation.

Correct Answer: A

Explanation

AI is not inherently unbiased — it reflects the biases present in its training data and design. But unlike human bias, AI bias can in principle be systematically measured, audited, and corrected at scale. The key is whether the organisation actively designs for bias reduction rather than assuming AI is neutral.

Q50. You discover that an AI interview scoring tool gives lower scores to candidates who speak with non-metropolitan Indian accents. What is the correct action?

- A. Add an accent correction filter to normalise speech before scoring.
- B. Continue using it but give accent-affected candidates a manual score boost.
- C. Inform hiring managers so they can compensate for the bias in their decisions.
- D. Withdraw the tool from use and address the bias before any redeployment.**

Correct Answer: D

Explanation

An interview scoring tool that produces biased outcomes based on accent must be withdrawn immediately. Using it with manual adjustments, filtering, or manager notification all leave a discriminatory tool in operation. The tool itself must be corrected before any further use.

Q51. What is the most important ethical principle for AI in HR?

- A. AI HR tools must demonstrate equivalent accuracy to human HR judgment.
- B. AI HR applications must be approved by the employees they will assess.
- C. AI HR decisions must be explainable to and contestable by the people they affect.**
- D. AI HR decisions must achieve lower error rates than manual HR processes.

Correct Answer: C

Explanation

Explainability and contestability are the foundational ethical requirements — employees affected by AI HR decisions have a right to understand why a decision was made and to challenge it. Accuracy comparisons, prior approval, and error rates are secondary to this human rights-grounded principle.

Q52. Your CHRO wants to use AI to predict which employees are likely to experience burnout. What governance must be in place before deployment?

- A. Clear policies on how identified employees will be helped, not penalised.**
- B. Accuracy benchmarks the burnout model must achieve before use.
- C. Employee consent to have their data used for burnout prediction.
- D. Legal review confirming the burnout prediction model is compliant.

Correct Answer: A

Explanation

Without clear policies on how burnout risk data will be used, the system will harm the employees it identifies — through manager stigma, career penalisation, or exclusion from opportunities. The policies on use must precede deployment; otherwise identification causes harm regardless of the intention.

Q53. A job candidate sues your company alleging AI screening discriminated against them. What documentation must you be able to produce?

- A. Proof that the AI tool was purchased from a reputable enterprise vendor.
- B. The criteria and methodology the AI used and evidence of validation testing.**
- C. The hiring manager's manual review notes confirming the AI recommendation.
- D. Evidence that the candidate did not meet the minimum stated qualifications.

Correct Answer: B

Explanation

A discrimination claim requires you to demonstrate that your screening methodology was valid, non-discriminatory, and based on job-relevant criteria. Tool vendor reputation and minimum qualification arguments are not sufficient defences. You need methodological documentation and validation evidence.

Q54. What is the most responsible approach to employee data in AI HR tools?

- A. Anonymise all employee data before it is used in any AI HR model.
- B. Require employee consent for every specific use of their data in AI models.
- C. Collect only the data necessary for the specific HR purpose and retain it minimally.**
- D. Encrypt all employee data to ensure it cannot be accessed by the AI vendor.

Correct Answer: C

Explanation

Data minimisation — collecting only what is needed for the specific purpose — is the foundational data responsibility principle. Anonymisation, consent, and encryption are all supporting measures that depend on first having limited the scope and duration of data collection.

Q55. What is the most important signal that an AI HR tool vendor is responsible?

- A. Their tool is used by large Fortune 500 companies.
- B. They offer a money-back guarantee if the tool underperforms.
- C. Their AI is built on the most advanced foundation model available.
- D. They provide bias audit results and commit to ongoing monitoring.**

Correct Answer: D

Explanation

Bias audit transparency and ongoing monitoring commitment are the strongest signals of responsible AI HR tool development. Enterprise adoption, commercial guarantees, and foundation model prestige all say nothing about whether the tool has been tested for discriminatory outcomes.

Q56. What is the most appropriate role for AI in a disciplinary investigation?

- A. Organising and surfacing relevant documents and communications for human review.**
- B. Making the initial finding on whether a policy violation occurred.
- C. Recommending the appropriate disciplinary action based on precedent.
- D. Replacing the investigation officer for efficiency in straightforward cases.

Correct Answer: A

Explanation

AI can accelerate the evidence-gathering phase of a disciplinary investigation — organising documents, identifying relevant communications — but the finding and recommendation require human judgment, fairness, due process, and accountability that AI cannot supply.

Q57. A new joiner receives their onboarding content from an AI system. What must remain human?

- A. The administrative process for benefits enrolment and ID card issuance.
- B. The relationship-building conversations that establish belonging and context.**
- C. The policy and compliance training content delivery.
- D. The document signing and contract completion process.

Correct Answer: B

Explanation

Belonging, relationship, and cultural integration are fundamentally human — they require real people who can listen, adapt, and respond to the individual new joiner's needs and anxieties. Administrative, policy, and document processes are well-suited to AI assistance.

Q58. What is the most important criterion for evaluating an AI-generated HR policy document?

- A. Whether it matches the tone and style of your existing HR documentation.
- B. Whether it covers all the topics that HR policies typically address.
- C. Whether it has been reviewed and approved by the CHRO.
- D. Whether it complies with applicable employment law in your jurisdiction.**

Correct Answer: D

Explanation

HR policy documents have legal consequences — they define employee rights and obligations. An AI-generated policy that is inconsistent with applicable employment law creates liability regardless of how well-written or comprehensive it is. Legal compliance is the threshold criterion.

Q59. What is the most effective way to ensure AI tools in HR are used responsibly?

- A. Build responsible use principles into team training and workflow design.**
- B. Require all AI HR outputs to receive CHRO approval before action.
- C. Audit all AI HR decisions annually by an external AI ethics specialist.
- D. Limit AI HR use to functions where errors can be quickly reversed.

Correct Answer: A

Explanation

Responsible use is most durably built through training (developing the judgment to use AI well) and workflow design (building in the review and verification steps that catch errors). CHRO approval bottlenecks, annual audits, and risk-based limitations are supplements, not foundations.

Q60. What distinguishes ethical AI use in HR from compliant AI use in HR?

- A. Ethical use requires employee consent; compliant use does not require consent.
- B. Ethical use exceeds legal standards; compliant use meets international best practice.
- C. Ethical use considers impact on employees; compliant use meets minimum legal requirements.**
- D. Ethical use requires explainable AI; compliant use only requires accurate AI.

Correct Answer: C

Explanation

Compliance is a floor — meeting legal minimums. Ethics asks a higher question: given what this tool does to the people it affects, is this the right thing to do? Ethical HR AI considers dignity, fairness, power dynamics, and impact in ways that compliance checklists cannot fully capture.

SET

5

HR Judgment Scenarios

Set 5 of 5 · 15 Questions · AI for HR

Q61. A senior leader asks you to use AI to find reasons to justify a termination decision already made. What is the correct response?

- A. **Decline — AI should not be used to retroactively justify predetermined decisions.**
- B. Proceed — using AI to document the decision is an improvement over informal records.
- C. Proceed only if the AI findings genuinely support the decision.
- D. Ask the legal team if using AI for this purpose is permissible.

Correct Answer: A

Explanation

Using AI to build a post-hoc justification for a predetermined termination decision is ethically wrong and legally risky — it manufactures documentation rather than reflecting a genuine process. This is a misuse of AI that a professional HR practitioner must refuse.

Q62. You discover that AI used in your last hiring cycle may have screened out qualified candidates from a specific background. What do you do?

- A. Conduct a quiet internal review before deciding whether to take action.
- B. Document the finding and include it in the next annual AI audit.
- C. Check whether the candidates who were screened out were actually strong enough.
- D. **Investigate the scope, notify affected candidates if appropriate, and fix the process.**

Correct Answer: D

Explanation

Potential discriminatory impact from AI hiring requires active investigation, consideration of notification to affected candidates (in some jurisdictions this may be required), and process correction. A quiet internal review that defers action, or checking whether "they were good enough anyway," are both inadequate responses.

Q63. An HR manager uses AI to write all their employee communication without reading it. An email goes out with an incorrect policy statement. Who is accountable?

- A. The AI tool vendor — their tool produced incorrect content.
- B. The HR manager — they sent communication they had not reviewed.**
- C. The HR Director — they are responsible for the manager's process.
- D. The organisation — they permitted AI use for employee communication.

Correct Answer: B

Explanation

The HR manager is accountable — they sent communication they had not reviewed. AI generating incorrect content is an expected risk. The professional obligation is to review before sending. Delegating to AI without review is a professional failure, not a technology failure.

Q64. A CHRO wants to automate annual performance ratings using AI. The most important objection to raise is:

- A. AI performance ratings have not been validated for accuracy against human ratings.
- B. Employees will resist AI performance ratings and engagement will decline.
- C. Performance ratings affect pay, promotion, and career — they require human accountability.**
- D. Annual ratings are too infrequent for AI pattern detection to be reliable.

Correct Answer: C

Explanation

Performance ratings determine pay, promotions, and career trajectories — and someone must be accountable for those decisions. Automated AI ratings without human accountability create a system where consequential decisions have no human owner. This is the fundamental objection.

Q65. Your company plans to use AI to monitor employee engagement through email sentiment. You must address this with the CEO first. The most important point is:

- A. This is employee surveillance that may violate privacy rights and destroy trust.**
- B. Email sentiment analysis is not sufficiently accurate for engagement measurement.
- C. The legal team must review whether this is permissible in your jurisdiction.
- D. Employees should be given the option to opt out before implementation.

Correct Answer: A

Explanation

The most important point to make to the CEO is that this is surveillance — monitoring private work communications for psychological states. Before accuracy, legal review, or opt-out design, the CEO must understand that this is fundamentally a surveillance tool and consider whether that is what the company wants to be.

Q66. You are implementing an AI hiring tool recommended by a vendor. The vendor says it is "bias-free." What must you do before deployment?

- A. Ask the vendor to provide their bias audit documentation.
- B. Pilot the tool with 10 candidates and evaluate the results.
- C. Conduct your own independent validation on your candidate pool before using it.**
- D. Obtain a legal indemnification from the vendor for any discrimination claims.

Correct Answer: C

Explanation

"Bias-free" claims require independent validation on your specific candidate pool, in your specific context. A vendor's own bias audit reflects their test conditions, which may not match your applicant demographics. Your own validation is the only way to know how the tool performs in your environment.

Q67. A highly capable candidate is rejected by your AI screening tool. A hiring manager advocates strongly for them. What is the most appropriate process?

- A. Override the AI decision since hiring manager judgment should prevail.
- B. Reject the candidate since overriding AI creates inconsistency in your process.
- C. Refer the case to HR leadership to resolve the conflict.
- D. Review the AI's screening criteria and manually evaluate the candidate against them.**

Correct Answer: D

Explanation

The correct process is to understand why AI rejected the candidate and evaluate manually against the same criteria. This may reveal that the AI applied criteria incorrectly, or that the hiring manager's judgment identifies something the criteria missed. Neither automatic override nor automatic enforcement is correct.

Q68. You are the HRBP for a team where AI recommends that three specific employees are "low performers." Managers want to start performance improvement plans. What do you do first?

- A. Support the managers — AI has identified a performance concern to address.
- B. Investigate whether the AI recommendation has validity before any action is taken.**
- C. Consult legal before any performance management process begins.
- D. Review the employees' recent performance data independent of the AI recommendation.

Correct Answer: B

Explanation

An AI recommendation of "low performance" is a hypothesis, not a finding. Before any consequential action — including starting a PIP — the recommendation must be investigated for validity: what data did the AI use, is it representative, and does it reflect actual job performance?

Q69. Your organisation has decided that all HR AI use must be disclosed to employees. A manager asks if they can skip disclosure for a "minor" AI tool used in scheduling. What do you say?

- A. "Scheduling tools are operational, not people decisions, so disclosure is optional."
- B. "You can use your judgment on disclosure for minor tools."
- C. "Disclosure applies to all AI use — consistency is what makes the policy credible."**
- D. "Check with legal on whether scheduling AI triggers the disclosure requirement."

Correct Answer: C

Explanation

Disclosure policies work through consistent application. Once managers start making judgment calls about what is "minor enough" to skip, the policy loses its meaning. Consistent application to all AI use is the only way to maintain the policy's credibility.

Q70. What is the most important thing an HR professional must understand about AI to use it responsibly?

- A. AI reflects the patterns in its training data — including historical biases.**
- B. AI is most reliable for structured, data-rich HR tasks like payroll processing.
- C. AI in HR requires ongoing accuracy monitoring to remain reliable over time.
- D. AI cannot replace the legal expertise needed for compliance decision-making.

Correct Answer: A

Explanation

The foundational understanding is that AI learns from historical data — and history in HR includes biased hiring decisions, unequal pay, and exclusionary practices. An HR professional who does not understand this will use AI tools that perpetuate these patterns without realising it.

Q71. A new HR technology vendor proposes using AI to predict which employees will experience mental health issues. What is your response?

- A. Pilot the tool with a small group to test its accuracy before wider deployment.
- B. Decline — mental health prediction is an unacceptable invasion of employee privacy.**
- C. Accept if employees consent to participation in the programme.
- D. Accept if the predictions are used only to offer support, not for evaluation.

Correct Answer: B

Explanation

Predicting mental health states from behavioural or communications data is an unacceptable privacy violation regardless of intent. Mental health data is among the most sensitive personal information, and building predictive models from proxy data without clinical expertise creates both privacy and clinical harms.

Q72. You are building an AI-powered HR analytics dashboard. What must you include to ensure responsible use?

- A. Real-time updating so all data reflects the current moment.
- B. Confidence scores for all AI-generated predictions and recommendations.
- C. Audit logs of every user who views each data point in the dashboard.
- D. Contextual interpretation guidance so users understand what metrics mean.**

Correct Answer: D

Explanation

HR analytics dashboards are only responsible if users understand what they are seeing — what a metric means, what it does not mean, what action is appropriate, and what the limitations are. Without this context, users make uninformed decisions from data they misinterpret.

Q73. What is the most important difference between AI-assisted HR decisions and AI-made HR decisions?

- A. AI-assisted decisions are faster; AI-made decisions are more consistent.
- B. AI-assisted decisions use AI for analysis; AI-made decisions use AI for action.
- C. AI-assisted decisions have a human accountable for the outcome; AI-made decisions do not.**
- D. AI-assisted decisions require human review; AI-made decisions do not require consent.

Correct Answer: C

Explanation

The accountability distinction is what matters most. In AI-assisted decisions, a human is accountable for the outcome and can be held responsible. In AI-made decisions, there is no human owner of the outcome — which is legally, ethically, and practically problematic for HR.

Q74. What is the most important quality for an HR professional using AI in their daily work?

- A. Technical knowledge of how the AI models used in HR actually work.
- B. The ability to evaluate AI outputs critically with people-first ethical judgment.**
- C. Speed of adoption across all available HR AI tools.
- D. Ability to communicate AI capabilities to leadership and employees.

Correct Answer: B

Explanation

People-first ethical judgment combined with critical evaluation of AI outputs is the defining quality. Technical knowledge, adoption speed, and communication capability all support good AI use in HR — but the foundation is the ability to assess whether AI is serving the people it is supposed to serve.

Q75. Menler's AI for HR bank is designed for HR professionals at what stage of AI maturity?

- A. Those exploring AI for the first time in a non-technical role.
- B. Those building AI systems and models for HR technology products.
- C. Those managing AI vendors and procurement for large HR functions.
- D. Those applying AI to real HR work with professional accountability for outcomes.**

Correct Answer: D

Explanation

The AI for HR bank tests applied professional judgment — using AI in real HR contexts with understanding of bias risks, legal accountability, and ethical responsibilities. It is designed for practitioners who are embedding AI in their daily work and need the judgment to do so responsibly.

END OF QUESTION BANK

*Your turning
point starts
here.*